

OPTIONS FOR ACCESSING YOUR PENSION

Different countries have different rules about how to access pension savings. In the UK there are three main options:

► **Option 1** Take 100 per cent of the pension as cash out to spend or invest. Only 25 per cent of a pension pot can be accessed tax-free – the rest will be taxed in the same way as any other earnings. There is a risk of running out of cash sooner or later.

► **Option 2** Buy an annuity. This is an insurance product that provides a fixed amount of cash every year for life. An annuity means the money won't run out, but the rate of income will be lower.

► **Option 3** Use income drawdown. This means withdrawing invested money as it is needed. There is the risk of running out of cash if too much money is withdrawn or the fund performs badly.

“You can be young without money, but you can't be old without it.”

Tennessee Williams, US playwright

